

UNIT 2

Entrepreneurial Opportunity & Business Planning

Opportunity Evaluation | Feasibility Analysis | Strategy

Topics Covered

- A-Entrepreneurial Opportunity Evaluation
- B-Market Feasibility & Demand Analysis
- C-Technical Feasibility: Prototype & Proof of Concept
- D-Financial Feasibility: Cost, Revenue & Break-Even Analysis
- E-Business Planning: Elements & Structure
- F-Strategic Planning: Vision, Mission, Goals, SWOC
- G-Competitive Strategy: Porter's Generic Strategies
- H-Growth Strategies & Quick Revision

A. Entrepreneurial Opportunity Evaluation

A.1 Identifying Market Opportunities & Trends

A business opportunity is an attractive, stable, and profitable idea that an entrepreneur identifies by analysing market demand and return on investment. It is not chance or luck — it requires research, analysis, and assessment of marketability.

Two Attributes of a Business Opportunity

1. Market Potential — how much demand the product/service can generate (gap between existing and future demand).
2. Return on Investment — revealed by a commercial feasibility study covering technical, economic, social, and environmental viability.

Opportunity Assessment Plan (OAP)

An OAP is shorter than a business plan. It focuses on the opportunity, has no financial statements, and helps decide whether to act or wait for a better opportunity.

OAP Section	What It Covers
Section 1 (Major) — Product/Service Idea	Market need, product description, unique features, competitive products, and Unique Selling Propositions (USPs).
Section 2 (Major) — Market Analysis	Market size, social conditions, data on market need, growth rate, trends (domestic & international).
Section 3 & 4 (Minor)	Supporting data, assumptions, and preliminary financial indicators.

A.2 Integration of Engineering Principles in Ideation

The ideation process is a structured, collaborative framework for generating, evaluating, and refining ideas to solve business challenges. Engineering thinking adds rigour, feasibility checks, and systematic evaluation to the creative process.

Four Stages of an Ideation Process

1. **Problem Identification:** Clearly define the challenge using data analysis, stakeholder input, and market research.
2. **Idea Generation:** Brainstorm freely using divergent thinking, mind mapping, and collaborative workshops. Quantity over quality at this stage.
3. **Idea Evaluation:** Filter ideas using feasibility, cost, impact, and strategic alignment. Tools: SWOT analysis, scoring models, stakeholder feedback.
4. **Implementation Planning:** Convert selected ideas into action plans with timelines, resource allocation, and feedback loops.

✓ Key Characteristics of a Successful Ideation Process

Collaboration & Inclusivity — diverse teams produce more creative ideas.
Clear Objectives — specific problem definition directs creativity effectively.
Feedback Loops — continuous refinement at every stage.
Structured Evaluation — clear criteria (feasibility, cost, alignment) to filter ideas.
Supportive Culture — leadership backing and psychological safety to share ideas.

A.3 Cross-Disciplinary Collaboration for Technological Innovation

Cross-disciplinary teams break down silos between different scientific and engineering fields, enabling knowledge and methodology transfer. This fosters holistic, integrated solutions that no single discipline could produce alone.

- **Bridge Building:** Teams connect biology, engineering, computer science, social sciences, etc. to create inclusive solutions.
- **Equitable Innovation:** Diverse perspectives ensure technologies address a broader spectrum of needs and reduce bias.
- **Education & Community:** Preparing future innovators to build socially responsible and universally accessible technologies.
- **Competitive Advantage:** Cross-disciplinary R&D consistently produces breakthrough innovations that mono-disciplinary teams miss.

B. Market Feasibility & Demand Analysis

B.1 What is Market Feasibility?

Market feasibility determines whether sufficient demand exists for a product/service to make a venture commercially viable. It involves a systematic study of customers, competitors, market size, and trends.

Step-by-Step Feasibility Process

1. **Preliminary Analysis:** Quick scan to determine if a full study is warranted — stakeholder interviews, surveys, competitor review, document analysis.
2. **Market Research:** Primary (surveys, focus groups) and secondary (industry reports, government data) research on target customer demographics, needs, and behaviour.
3. **Market Size & Growth:** Estimate total addressable market (TAM), serviceable market (SAM), and realistic target (SOM). Assess historical and projected growth rates.
4. **Competitive Analysis:** Identify direct and indirect competitors; assess their strengths, weaknesses, pricing, and market share.
5. **Demand Estimation:** Use trend analysis, customer surveys, and analogous product data to estimate realistic demand volumes.
6. **Go / No-Go Decision:** If preliminary findings show strong demand with limited barriers — proceed to full feasibility study. If obstacles dominate — reconsider the concept.

B.2 Demand Analysis

Demand Factor	Description
Primary Demand	Total market demand for a product category (all brands combined).
Selective Demand	Demand for a specific brand within the category.
Latent Demand	Existing need not yet served by any product — large opportunity area.
Derived Demand	Demand driven by demand for another product (e.g. steel demand driven by car demand).
Price Elasticity	How sensitive demand is to price changes — critical for pricing strategy.

C. Technical Feasibility: Prototype & Proof of Concept

C.1 What is Technical Feasibility?

Technical feasibility assesses whether the technology, engineering capability, and physical resources exist or can be developed to bring the product/service to market at acceptable cost and quality.

Technical Feasibility Factor	Key Questions
Technology Availability	Does the required technology exist? Can it be acquired or built?
Engineering Capability	Does the team have the skills? Is external expertise needed?
Production Scalability	Can the solution be manufactured at scale? What are capacity limits?
Quality & Standards	Does the product meet industry standards and regulatory requirements?
IP Considerations	Are there patents or IP barriers that block development?
Timeline	Can the prototype and production be completed within the planned schedule?

C.2 Prototype Development

A prototype is an early sample or model built to test a concept or process. It translates the idea into a tangible, testable form.

Types of Prototypes

- **Proof-of-Concept (PoC):** Tests core functionality only — does the idea work at all? Low fidelity, quick, and cheap.
- **Working Prototype:** Functional model demonstrating primary features; used for investor demos and user testing.
- **Pre-Production Prototype:** Near-final version used for last-round testing before mass manufacturing.
- **MVP (Minimum Viable Product):** Simplest version with enough features to satisfy early adopters and collect feedback.

 **Proof of Concept (PoC) vs Prototype**
PoC — Answers: Can this be built? Validates technical assumptions only. No user-facing features.
Prototype — Answers: How will this look and work? Demonstrates the product experience.
Both reduce risk before committing to full-scale production and significant capital investment.

C.3 Prototype Development Process

1. **Define Requirements:** List core features, performance targets, regulatory needs, and user expectations.
2. **Design & Engineer:** Create CAD models, circuit diagrams, software architecture, or process flows.
3. **Build the Prototype:** Use rapid prototyping tools: 3D printing, breadboards, mock apps, or manual builds.

4. **Test & Iterate:** Conduct functional tests, user tests, and stress tests. Record all failures and improvements.
5. **Validate & Document:** Confirm the prototype meets requirements. Document findings for investors and next-phase planning.

D. Financial Feasibility Analysis

D.1 Cost Estimation

Cost estimation projects all costs required to start and run the venture. Accuracy is critical for attracting funding and setting viable prices.

Cost Category	Examples
Start-up / Capital Costs	Land, building, machinery, equipment, initial software licences, legal registration.
Fixed Costs	Rent, salaries, loan repayments, insurance — do not vary with output.
Variable Costs	Raw materials, packaging, shipping, commissions — change with production volume.
Semi-Variable Costs	Electricity, maintenance — partly fixed, partly volume-dependent.
Working Capital	Cash needed for day-to-day operations: inventory, receivables, payables.

D.2 Revenue Projection

Revenue projection estimates future income from sales to judge whether the venture will be profitable.

- **Market Size Approach:** Estimate realistic market share × average selling price × volume sold.
- **Cost-Plus Approach:** Set price to cover all costs plus a target profit margin.
- **Comparable Business Approach:** Use revenue benchmarks from similar businesses in the industry.
- **Year-on-Year Growth Model:** Project revenue growth based on assumed customer acquisition rates.



Revenue Projection Format (3-Year Template)

Year 1: Conservative estimate — focus on market entry, initial customer acquisition.

Year 2: Moderate growth — expanded customer base, refined pricing, scaled operations.

Year 3: Optimistic scenario — full-scale operations, repeat customers, market share growth.

Tip: Always present best-case, base-case, and worst-case scenarios.

D.3 Break-Even Analysis

Break-even analysis identifies the sales volume at which total revenue equals total costs — the point of zero profit/loss. Below it = loss; above it = profit.



Break-Even Formula

Break-Even Point (Units) = Fixed Costs ÷ (Selling Price per Unit – Variable Cost per Unit)

Contribution Margin per Unit = Selling Price – Variable Cost

Break-Even Point (Revenue) = Fixed Costs ÷ Contribution Margin Ratio

Example: Fixed Costs = ₹5,00,000 Price = ₹200 Variable Cost = ₹120

BEP = ₹5,00,000 ÷ (₹200 – ₹120) = 6,250 units

Uses of Break-Even Analysis

- **Pricing Decisions:** Understand the minimum price needed to cover costs.
- **Investment Decisions:** Evaluate if projected sales will surpass the break-even threshold.
- **Risk Assessment:** Assess how far sales can fall before incurring a loss (margin of safety).
- **Cost Control:** Identify which costs have the greatest impact on the break-even point.

E. Business Planning: Elements & Structure

E.1 What is a Business Plan?

A business plan is a written blueprint that defines a venture's objectives, strategies, and resources. It combines plans for finance, marketing, operations, and human resources, and serves as a roadmap for entrepreneurs and a decision tool for investors.



Purpose of a Business Plan

Entrepreneurs — outline goals, test assumptions, guide operations.

Investors/Banks — evaluate financial viability and growth potential.

Employees — understand the company's vision, direction, and their role.

Government/Regulators — assess compliance, employment, and social impact.

E.2 Elements of a Business Plan

Section	Key Contents
1. Title Page	Business name, address, phone, email, logo, date.
2. Executive Summary	2-page snapshot: business concept, market opportunity, USP, financial highlights. Written LAST.
3. Company Description	Mission, vision, legal structure, location, history, and unique value offered.
4. Industry Overview	Industry trends, major players, market size, regulatory environment, estimated revenues.
5. Market Analysis & Competition	Target market demographics, geography, behaviour, market size, competitor strengths/weaknesses.
6. Sales & Marketing Plan	USP, pricing strategy, distribution channels, advertising and promotion activities.
7. Management Plan	Legal structure, leadership team, advisors, hiring plan, and remuneration.
8. Operational Plan	Office/factory space, equipment, supply chain, production workflow, quality control.
9. Financial Plan	Projected income statement, balance sheet, cash flow statement, funding requirements.
10. Appendices	Market research data, facility plans, product brochures, licences, promoter credentials.

E.3 Executive Summary — Key Elements

- **Business Concept:** What does the business do? What problem does it solve?
- **Market Opportunity:** Who are the customers? How large is the market?
- **Competitive Advantage:** What makes this venture unique? Why will customers choose it?
- **Management Team:** Who leads the venture? What are their key qualifications?
- **Financial Highlights:** Revenue projections, funding required, expected break-even and profit timeline.



Common Business Plan Mistakes to Avoid

Submitting unpolished or incomplete drafts.

Using outdated financial data or unsupported assumptions.

Ignoring potential risks or competitive threats.

Overemphasising collateral instead of demonstrating cash flow.

Starting with unrealistic loan demands or revenue projections.

F. Strategic Planning: Vision, Mission, Goals, SWOC

F.1 What is Strategic Planning?

Strategic planning is the ongoing process of setting long-term goals and deciding how to achieve them. It aligns internal resources with external opportunities, helps predict future challenges, and ensures efficient resource use.

Planning- Focuses on HOW to achieve tasks — detailed, operational, short-term.

Strategy- Focuses on WHAT goals to achieve and WHY — broad, long-term, directional.

F.2 Vision

The vision describes where the company wants to be in the future. It is forward-looking, inspiring, and provides clear direction for all stakeholders.

Characteristics: Inspiring, concise, future-focused, aspirational.

Example: "To be the leading provider of sustainable energy solutions worldwide."

F.3 Mission

The mission defines the purpose of the company — why it exists and how it serves its customers today.

Characteristics: Present-focused, practical, describes what company does, for whom, and the value it provides.

Example: "We provide affordable renewable energy solutions through innovation and sustainable practices."

F.4 Goals & Objectives

	Goals	Objectives
Definition	Broad, long-term aims aligned with vision & mission.	Specific, measurable steps to achieve goals.
Timeframe	3-5+ years	Short-term (months to 1-2 years)
Nature	Qualitative and directional	Quantitative and SMART
Example	"Expand market share in renewable energy by 30%."	"Launch 5 new products in next 12 months."

F.5 SWOC Analysis

SWOC (Strengths, Weaknesses, Opportunities, Challenges) is a strategic tool that assesses internal capabilities and external environment to guide strategic decision-making.

SWOC Element	Focus	Examples
Strengths (Internal)	What the company does well	Strong brand, skilled workforce, proprietary technology
Weaknesses (Internal)	Areas that hinder performance	Limited capital, outdated systems, poor distribution
Opportunities (External)	Trends the company can exploit	Growing market, government subsidies, new technology
Challenges/Threats (External)	External risks to manage	Intense competition, regulation changes, economic slowdown

🎯 How SWOC Drives Strategy

SO Strategy: Use Strengths to capture Opportunities — aggressive growth.

WO Strategy: Overcome Weaknesses by exploiting Opportunities — development focus.

ST Strategy: Use Strengths to neutralise Threats — defensive strength.

WT Strategy: Minimise Weaknesses and avoid Threats — survival or retrenchment.

G. Competitive Strategy: Porter's Generic Strategies

G.1 Overview

Michael Porter identified three generic strategies that provide sustainable competitive advantage. The right choice depends on a firm's competitive scope (broad vs. narrow market) and its source of advantage (low cost vs. differentiation).

Strategy	Competitive Advantage	Competitive Scope	Examples
Cost Leadership	Lowest cost producer	Broad market	Walmart, McDonald's, Amazon, EasyJet
Differentiation	Unique product/service	Broad market	Apple, Nike, Starbucks, Harley-Davidson
Cost Focus	Low cost — niche	Narrow segment	Claire's, Home Depot (specific categories)
Differentiation Focus	Unique — niche	Narrow segment	Rolls Royce, Prada, Omega, Razer

G.2 Cost Leadership Strategy

Aim: Be the lowest-cost producer in the industry while maintaining acceptable quality.

- **How it works:** Economies of scale, tight cost controls, efficient production, standardised no-frills products.
- **Advantage:** Can undercut competitors' prices using penetration pricing and still earn reasonable profits.
- **Risk:** If technology changes, cost advantage may erode; low-margin leaves little room for error.
- **Examples:** Walmart (retail), McDonald's (food), Southwest Airlines (aviation), Amazon (e-commerce).

G.3 Differentiation Strategy

Aim: Offer products or services perceived as unique and superior — command a premium price.

- **How it works:** Unique features, superior quality, exceptional service, strong branding, innovative technology.
- **Advantage:** Customer loyalty reduces price sensitivity; higher margins; barriers to imitation.
- **Risk:** Differentiation is costly; customers may not pay the premium if alternatives improve; imitation.
- **Examples:** Apple (innovation + design), Starbucks (experience), Nike (brand + performance), LEGO (creativity).

G.4 Focus Strategy

Aim: Serve a specific niche market better than broad competitors — using either cost or differentiation.

- **Cost Focus:** Lowest cost within a narrow segment — e.g. discount retailers targeting budget shoppers in one region.
- **Differentiation Focus:** Unique offering for a specific niche — e.g. Rolls Royce for ultra-luxury buyers; Razer for pro gamers.
- **Advantage:** Deep customer knowledge; less direct competition; loyalty in the niche.
- **Risk:** Niche may shrink; broad competitors may outflank the niche; limited scalability.

Porter's Strategic Warning: Stuck in the Middle

A firm that fails to commit to ONE generic strategy ends up 'stuck in the middle' — no clear cost advantage OR differentiation.

Such firms have below-average profitability and no sustainable competitive advantage.

Choose ONE primary strategy and execute it consistently.

H. Growth Strategies & Quick Revision

H.1 Growth Strategies Overview

A growth strategy is a plan to expand business revenue, customers, products, or market presence. Companies must choose strategies aligned with their resources, risk appetite, and market conditions.

H.2 Organic Growth

The company expands through its own internal resources and operations — without external acquisitions or mergers.

- **How it works:** Improve production efficiency, launch new products, grow the sales team, enter new regions.
- **Advantages:** Self-sufficient; no debt; retains full control; builds culture and capability steadily.
- **Limitations:** Slower than M&A; may miss market windows; resource-intensive.
- **Example:** A manufacturer improving production lines to increase output and reduce per-unit costs.

H.3 Mergers & Acquisitions (M&A)

Companies combine resources through financial transactions — purchasing, merging with, or acquiring another company or its assets.

M&A Type	Description	Purpose
Merger	Two companies combine to form a new entity.	Consolidate market position, reduce competition.
Acquisition	One company purchases another outright.	Quick access to new markets, technology, or talent.
Asset Acquisition	Only specific assets (brand, IP, plants) are acquired.	Targeted capability or market access without full takeover.

- **Advantages:** Rapid market entry, expanded customer base, access to new products/technology, economies of scale.
- **Risks:** High cost, cultural clashes, integration challenges, regulatory hurdles.

H.4 Strategic Alliances

A strategic alliance is a formal arrangement between two or more independent companies to collaborate on a mutually beneficial project while retaining their independence.

- **Why companies form alliances:** Access new markets, share R&D costs, complement each other's capabilities, accelerate innovation.
- **Types:** Joint Ventures, Licensing Agreements, Supply/Distribution Partnerships, R&D Consortia.
- **Advantages:** Lower risk and cost than M&A; retain independence; access to partner's markets
- **Risks:** Misaligned goals, IP leakage, dependency on partner performance, complex governance.
- **Examples:** Starbucks-PepsiCo (distribution), Renault-Nissan (platform sharing), Airbus consortium.

H.5 Growth Strategies — Quick Comparison

Strategy	Speed	Risk	Cost	Control Retained
Organic Growth	Slow	Low	Low	Full
Merger & Acquisition	Fast	High	High	Partial (depends on deal)
Strategic Alliance	Medium	Medium	Medium	Full (independence retained)